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Municipal Assessment vs. Market Value

Two numbers, two uses — stop confusing them

READ BEFORE YOU BEGIN

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Municipal Assessment vs. Market Value · Collection Québec & Legal · Guide No. 41 · 2026
Edition

Municipal Assessment vs. Market Value

Two numbers, two uses — stop confusing them

“My house is assessed at such-and-such by the city.” You hear this phrase often — and it leads to many misunderstandings about prices. The municipal assessment and market value are two different things, with two distinct uses.

This guide clarifies the difference, explains the comparative factor, and helps you use the right number at the right time.

Each chapter ends with a lined “My notes” page.

“My house is assessed at such-and-such by the city”: this phrase leads to many misunderstandings. This guide clarifies the difference between the municipal assessment (a tax tool) and market value (the market price), explains the comparative factor and how to contest an assessment.

The key message: the right number at the right time.

CHAPTER

The municipal assessment: a tax tool

Understanding what it's really for.

The municipal assessment appears on the **assessment roll**. Its purpose isn't to set a sale price: it serves to **allocate the taxes**, municipal and school.

It's established “in bulk”, at a reference date, for an entire territory — not property by property at today's price. As a result:

- It can be higher or lower than the real market value.
- It often lags in time.

The municipal assessment appears on the assessment roll and serves to allocate the taxes. Established in bulk, at a reference date, with a lag, it can be higher or lower than the market. “The city assesses it at such-and-such, so that's what it's worth” is the number-one misunderstanding.

EMILIE'S TIP

“The city assesses it at such-and-such, so that's what it's worth”: that's the number-one misunderstanding. The municipal assessment is used to calculate your taxes, not to set the sale price.

CHAPTER

Market value: the market price

Understanding what a buyer actually pays.

Market value is the price an **informed buyer** is ready to pay *today*, under current market conditions.

It's determined by a **comparative market analysis** (recent sales of similar properties), not by the assessment roll.

It's this number — and it alone — that should guide a sale price or a purchase offer.

Market value is the price an informed buyer pays today, determined by a comparative analysis (recent similar sales) — not by the roll. It's this number, and it alone, that should guide a sale price or a purchase offer.

EMILIE'S TIP

To know the real value of your property, ask for a comparative analysis based on recent sales in the area. It's the only number that counts when it's time to sell or buy.

CHAPTER

The comparative factor and the right uses

Linking the two concepts correctly.

The municipality applies a **comparative factor** to try to bring the assessment roll closer to market value — for example in calculating the Welcome Tax.

This clearly shows that the assessment alone isn't the market value. To each number its use:

- **Municipal assessment:** for the taxes, and as the (adjusted) basis of the Welcome Tax.
- **Market value:** to set a price, make an offer, negotiate.

The municipality applies a comparative factor to bring the roll closer to the market (notably for the Welcome Tax), which clearly shows that the assessment alone isn't the market value. To each number its use: assessment for the taxes, market value to set a price.

EMILIE'S TIP

To estimate your Welcome Tax, remember that the higher of the price paid and the municipal assessment adjusted by the comparative factor is used. It avoids nasty surprises.

CHAPTER

Contesting your municipal assessment

Acting if the roll seems wrong to you.

If your municipal assessment seems clearly too high relative to the market, you can **contest** it — within a specific deadline following the filing of a new roll.

1. Compare your assessment to that of similar properties.
2. Gather proof (comparable sales, the building's real condition).
3. File a **request for review** with the municipality within the provided deadline.

Too high an assessment can inflate your taxes year after year: it can be worth the effort.

If your assessment seems clearly too high relative to the market, you can contest it within a specific deadline following the filing of a new roll: compare with similar properties, gather proof and file a request for review. Too high an assessment inflates your taxes for years.

EMILIE'S TIP

Don't miss the review deadline. If your assessment clearly exceeds that of comparable houses, a well-documented challenge can reduce your taxes for years.

CHAPTER

The right number at the right time

Never confusing the two again.

In practice, keep this simple reflex depending on the situation:

- I'm **selling** or making an **offer** → market value (comparative analysis).
- I'm checking my **taxes** → municipal assessment (the roll).
- I'm estimating my **Welcome Tax** → the higher of the price paid or the adjusted assessment.

Both numbers are useful; it's mixing them up that leads to pricing errors.

Keep this reflex: I'm selling or offering → market value; I'm checking my taxes → municipal assessment; I'm estimating my Welcome Tax → the higher of the price paid or the adjusted assessment. Both numbers are useful; it's mixing them up that leads to pricing errors.

EMILIE'S TIP

Picture two mental drawers: “taxes” for the municipal assessment, “price” for market value. Never reach into the wrong drawer when it's time to negotiate.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Find my municipal assessment and its date.
2. Ask for a comparative analysis for the market value.

Within 30 days

1. Use market value for any pricing decision.
2. Understand the comparative factor for the Welcome Tax.

Next

1. Stop confusing the two numbers.

Good reflexes

1. Use market value (comparative analysis) for any pricing decision.
2. Check the challenge deadline if my assessment clearly exceeds the market.

REFERENCES

Resources & glossary

- Assessment roll: the municipal register of values, the basis for taxes.
 - Municipal assessment: a tax value, distinct from the sale price.
 - Market value: the price an informed buyer pays today.
 - Comparative factor: a coefficient bringing the assessment closer to the market.
 - Comparative analysis: recent sales used to determine market value.
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- Assessment roll: the municipal register of values, the basis for taxes.
 - Municipal assessment: a tax value, distinct from the sale price.
 - Market value: the price an informed buyer pays today.
 - Comparative factor: a coefficient bringing the assessment closer to the market.
 - Request for review: the recourse to contest an assessment.

GOING FURTHER

Quiz — test your knowledge

1. The municipal assessment mainly serves to:

- A) Set the sale price
- B) Allocate the taxes
- C) Pay the notary
- D) Insure the house

2. It is established:

- A) At today's price, property by property
- B) In bulk, at a reference date
- C) By the buyer
- D) Every week

3. Market value is:

- A) The roll's number
- B) The price an informed buyer pays today
- C) The Welcome Tax
- D) The deductible

4. It is determined by:

- A) The assessment roll
- B) A comparative market analysis
- C) Chance
- D) The city

5. The comparative factor serves to:

- A) Hide the taxes
- B) Bring the assessment closer to the market (e.g. Welcome Tax)
- C) Set the insurance
- D) Nothing

6. To set a sale price, you use:

- A) The municipal assessment
- B) The market value
- C) The school tax
- D) The deductible

7. Too high a municipal assessment can:

- A) Reduce your taxes
- B) Inflate your taxes year after year
- C) Lower the sale price
- D) Be ignored with no effect

8. To contest it, you must:

- A) Wait ten years
- B) File a request for review within the provided deadline
- C) Call the notary
- D) Sell the house

9. To check your taxes, the right number is:

- A) The market value
- B) The municipal assessment
- C) The price paid by the neighbour
- D) The insurance

10. The Welcome Tax is based on:

- A) The lower of the two numbers
- B) The higher of the price paid or the adjusted assessment
- C) The deductible
- D) Nothing

Answer key

- 1. **B** — A tax tool (ch. 1).
- 2. **B** — A mass assessment (ch. 1).
- 3. **B** — The real market price (ch. 2).
- 4. **B** — Comparable sales (ch. 2).
- 5. **B** — Bridging assessment/market (ch. 3).
- 6. **B** — Market value (ch. 3 and 5).
- 7. **B** — A tax impact (ch. 4).
- 8. **B** — A request for review (ch. 4).

9. B — The municipal assessment (ch. 5).

10. B — The higher of the two (ch. 3 and 5).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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